

We've spent a lot of time anticipating disaster. We expect a collapse of the international monetary system, for example. It is almost inevitable, but it is still unpredictable. We can't say when or how it will come about.

Likewise, much higher inflation rates are coming, as well as a huge sell-off in government bond markets. Those things will provoke widespread financial disasters, possibly leading to riots, revolutions, and other bad stuff.

It is possible that these financial calamities will cause a major economic disruption, like the collapse of the Roman Empire. In the chaos, trading networks could fall apart and take many decades to be rebuilt. Gross domestic product growth could turn negative and remain in the red for years. Developed regions could slide backward for generations. Emerging markets could explode. Who knows what would happen?

And then, there are the disasters that are impossible to see coming at all. For example, our old friend Marc Faber recently included an essay on "cyber security" by William S. Leavitt in his newsletter: "Whether we acquiesce or not, our lives are determined by technology and computer systems. Our electric grids, nuclear systems, water supplies, financial institutions, fuel systems, communication systems, as well as our governments, are directed by technological systems, which are subject to attack or disruption."³

Apparently, the cyber attackers are well-funded, very sophisticated groups engaged in serious warfare all the time. For the moment, they are outgunned by the forces of law and order—led by the United States. But imagine what happens when the United States runs out of money? How long will it take the attackers to get ahead technologically? With all the billions and billions of dollars' worth of capital in the world and the millions of people with high-tech computer skills, it seems like a matter of time before a serious black swan event occurs.

One thing about cyber war makes it especially attractive to low-budget terrorists: It costs relatively little to maintain a serious threat. No battleships necessary. No billion-dollar fighter jets. No nuclear deterrent. In fact, with the right team of software geniuses, it may be possible to turn a nation's own nuclear capability against itself.

In other words, when it comes to bad stuff, the sky's the limit. It's gonna happen eventually, one way or another. And it could be real bad.